

CASE 4

AAVA: Simple Water with Complicated Research

“Water, water, everywhere and not a drop to drink”—this line from Samuel Taylor Coleridge’s poem strangely describes the fact of life. While water is available everywhere, but can we drink water in any form that we get? Not by a long shot. Why? We need safe and hygienic water that is pure and healthy. The market is flooded with different brands of packaged drinking water, and consumers have to make a choice to pick one. A tough call, eh! To ensure that the consumer picks a particular brand and repeats the choice, packaged drinking water companies have to vehemently manage their brands. Let us study the case of Aava natural mineral water to know this better.

The packaged drinking water market is growing due to increased healthcare awareness about waterborne diseases and its convenience. The market was valued at US\$283.6 billion in 2021 and is expected to reach US\$476.45 billion by 2029 at a CAGR of 6.7%. Packaged water is obtained from various sources and is treated with ultraviolet irradiation to inhibit pathogenic organism growth. The market is driven by the therapeutic benefits of quinine, a medication used to treat malaria and babesiosis, and the growing consumption of alcohol. Other factors that drive the market are rising disposable income, rapid urbanization, and the popularity of social media and the Internet. However, increasing environmental pollution from use of plastic for packaging and a lack of health consideration due to low-cost tap water are potential deterrents.

► ABOUT AAVA

Promoted by Sheelpe Enterprises Pvt. Ltd. Ahmedabad, Aava, a natural mineral water brand, is one of the most significant players in terms of volume in the packaged natural mineral water industry in India. This brand from Gujarat in Western India, sources pure and bacteria-free water that originates from the holy hills of Tauranga, a part of one of the world’s oldest mountain ranges, the Aravalli ranges. The name is Aava signifies its origin symbolizing purity, chemical-free, and healthy water. Using their origin as a canvas, Aava portrays a narrative about how every drop of Aava is purified by mother nature herself. Aava has been making this pristine offering to consumers for over 18 years, starting from 2005.

► THE AAVA PROCESS

Drinkable water is naturally transported to the underground reservoirs of the company through different layers of alluvium and clay, natural filters for the pure mineral water. Aava water is so pure that it has stood the most rigorous international tests and standards. The company abides by the “International Environmental Quality Standards” by ISO-14001-2004 for eco-friendliness and purity

wellness. More so, it has exclusive mineral compositions and provides health benefits to consumers. Adding icing to the cake, Aava ensures its water is free from bitterness due to no chemical treatment. Furthermore, the water contains essential minerals such as calcium, magnesium, sodium, and potassium. Aava's water is so pure and pristine that it can even be compared with the spring water of Western Europe as a "top-grade mineral water."

Notably, Aava is no slacker in appearances either. The packaging is carried out in line with the highest international standards, and Aava has won the prestigious Bottled Water World Award in Mexico for the "bottled water world awards." In Persian, Aava means Angel of Water. The water is pure and natural, with an appropriate mineral composition. It is no surprise that Aava is the only Indian brand to have received the most prestigious award "Power Brands Awards – 2013" held in Las Vegas. The brand also boasts a superbly hygienic plant for its offerings from that ensures health benefits to the consumers.

Adding another feather to its cap, the company received a pan-India license to sell natural mineral water. This brand, primarily popular in the western India, collects maximum revenue from the states of Rajasthan, Maharashtra, Goa, and Karnataka. The business idea developed by the company's founder, Behram Mehta, realized that the Indian market was not completely ready for packaged natural and mineral water prior to 2005, and hence, the company waited for the launch of the brand until then. Robust growth rate in sales and revenues was recorded in the first five years of the launch. This growth was observed as Aava collaborated with leading hotels, restaurants, and airlines across India.

► CATEGORY OVERVIEW

The packaged drinking water market is segmented in seven categories—sparkling, spring, distilled, and purified. However, all of these can be broadly categorized as mineral and packaged water. Mineral water is natural form water that originates from protected aquifers/springs. This water is in high demand as it provides many health benefits. The leading brands in this category in India are Himalaya Evian, Aava, Catch, and so on. But most packaged water is in the purified category that uses the R.O. and chemical disinfection to remove moving impurities.

► SEGMENT OVERVIEW

In the packaged mineral water category, Aava has a robust collaboration with the elite and high-end companies in various segments such as leading Indian airlines such as Indigo, Jet Airways, Swiss Air, Air Mauritius and Air India, Lufthansa, Indigo, Jet Airways, and Indigo. Further, the company collaborated with premier clubs such as the Cricket Club of India, Radio Club, Karnavati Club, Kalhar Blue, Golf Club, etc. The company also tied up with renowned hotels such as Oberoi, Tridents Four Seasons, JW Marriott, Trident Hotels Le Meridian, Hyatt, Ramada, Grand Bhawati, Oberoi, Fortune, Hilton, Radisson, Sarovar, ITC, TGB. They also collaborated with companies such as Vadilal, Tat Stats, Big Cinemas, Nature's Basket, IIM Ahmedabad, Reliance Fresh, Gujrat Gas, and Adani. These affluent collaborations comprise of 90% of Aava's revenue from the B2B market. However, the company's next target was to enter the B2C market.

► MAJOR COMPETITION

Entering the B2C market in India was no less than a challenge in itself. Their key competition was with the entire packaged drinking water. Why? Simply because larger Indian consumers are cost conscious with little understanding of mineral water differentiation. In addition, the existing market leaders in the natural mineral water category—Himalayan, Qua, Catch, and Evian—offered stiff competition. Himalayan, a Tata brand, enjoys a premium status and is connected well with the brand value of the Tata group that resonates trust and credibility in India. Himalayan PET bottles come in a bright pink color which is attention-grabbing. Qua from North India, on the other hand, actively fosters collaborations with many leading bakeries, restaurants, hotels, lounges, and so on across metropolitans in India. This brand with an appealing package that was full of elegance and style, was positioned for the elite class of Indian consumers. Another player in this category, Catch is a brand that offers mineral water with flavors, soda, and sparkling water. Their focus was on the health-conscious consumers of India. Furthermore, Evian, a French brand that entered India in the late 90's, also sought a piece of the pie of the elite class of consumers in India with their sophisticated technology and excellent quality. The other leading brands in this category—Aquafina, Kinley, Bisleri—are from established beverage brands.

► BUSINESS ISSUES & APPROACHES

B2C markets have always been the test of a company's mettle. It was not any different for Aava. Of the many issues that the company had to manage while entering into the B2C segment, the primary challenge was absence of consumer awareness and knowledge about the product category and the differentiation between mineral and packaged drinking water. The notion existed that all packaged drinking water is mineral water, more so because no one really reads the labels on the product. To complicate matters further, both categories had many players. The other issue was lesser brand awareness about Aava, as consumers could not recall the brand quickly while purchasing.

Hence, the brand wanted to devise an effective communication strategy to educate and reach consumers, that in turn would help Aava develop appropriate branding approaches that would eventually translate to increased sales and profit from the B2C segment. The company ventured into sporting events for brand promotion. Although the company's initial idea was to connect with the middle class, the market response was not favourable as Indian consumers are highly price-sensitive. With the offering of a good product, the company was willing to invest money in its branding approaches, but Mr. Mehta needed clarity on whether to remain with the B2B market with reduced B2C operations, or move aggressively into B2C with an effective branding strategy. In either case, the brand predominantly wanted to become the leader in India's natural mineral water category, with expansion into new geographical areas and segments to widen their portfolio.

► DATA SOURCES

In its quest for understanding the market and resolving key issues, the company carried out primary and secondary research. In its first leg, primary research was conducted by the leading

communication agency of India, Mudra Communication, Ahmedabad, India, for the Aava brand during the launch. This research was customized to the needs, issues, and challenges the brand faced in the Indian market. Additionally, the company referred to all the top-rated journals and reports for secondary sources to understand pure drinking water suitable for human consumption. For example, the company weighed a report by the American Heart Association, which stated that sufficient magnesium intake is required in drinking water to prevent cardiovascular diseases.

Further, the company extensively delved in reports that qualitatively and quantitatively proved that magnesium intake in water decreases cancer, uroliths, weak outcomes of pregnancy, and could also prevent heart attacks. The company also learned from the American Dietetic Association that consuming mineral water with adequate magnesium and calcium could prevent cancer. The company also studied MIT (Massachusetts Institute of Technology, USA) reports that found that appropriate magnesium levels in drinking water could help strengthen memory among kids and enhance functionality for middle-aged individuals. The company used these data and insights from official and credible sources in its promotional approaches to educate Indian consumers.

► KEY FINDINGS

The company found that the freshwater is depleting, and there are serious potable water issues that the country is posed to encounter in future. Aava undertook the initiative to conserve and preserve water for the future by building check dams. The findings of the research revealed that consumers look for bottle designs that are curved and are easy to hold and carry. Second, the study indicated that the elderly and young people find it challenging to drink water directly from bottles, and hence, Aava developed a cup-on-the-go with a bottle. Third, there was low brand awareness about Aava among Indian consumers. Fourth, the consumption habits and patterns of consumers are constantly evolving, which subsequently, led to consumers prioritizing health and wellness.

► BRAND COMMUNICATION STRATEGY

The basic communication approaches of the brand were centered on its core values, i.e., creative design of the bottle, excellent quality, and extraordinary services offered by the company. The company used transit advertising and Aava's fleet to brand its products. This approach was to target consumers who stepped outside their homes and would need pure drinking water primarily when on the move. The company found that when Indian consumers are at home, they usually drink water from their waterfilter or R.O. and prefer not use mineral water.

Carved in its core, the company believes in taking the eco-friendly path, as consumers in India are developing preferences for environmentally friendly companies. Thus, Aava used the tag "the water world is going green." Taking cognizance of the fact that Indians do not prefer drinking directly from bottles, the company also provided a small eco-friendly glass that the consumers can use to drink mineral water from their Aava bottles. The glass further justifies the basic principle of Indian ethos—'share and drink water'. The highlight for the company was when Aava, the brand, was launched on October 19th, 2005 by the erstwhile Chief Minister of Gujarat, Narendra Modi, who went on to become the Prime Minister of India in 2009).

Aava emphasized its “natural mineral water” positioning, highlighting the source, purity, and taste aspects compared to regular packaged drinking water—example includes campaigns like “More Than Just Water.” Aava’s ‘origin of water’ narrative including deep Himalayan springs and pristine mountain aquifers is highlighted through visuals and storytelling. Its naturally occurring minerals and electrolytes are compared to treated water and validated by independent labs. Aava’s superior taste is showcased through blindfolded taste-tests or consumer surveys and further endorsed by chefs or restaurants.

Aava focuses on building an emotional connection with consumers, associating the brand with well-being, nature, and healthy living—examples include the “Health Benefits Aava Alkaline Natural Mineral Water” campaigns and “Recharging You And The Planet.” Aava is a drinking water brand that promotes health and well-being through partnerships with fitness influencers and yoga studios. It is seen as a natural gift, promoting sustainability and environmental connection. Aava also announced itself as being a part of an active lifestyle, sponsoring sporting events and partnering with athletes.

Aava partnered with entities like Star Bazaar and Indian Railways to expand reach and visibility. The company is contemplating expansion by partnering with complementary brands, such as organic food stores or eco-friendly companies, offering bundled promotions, and collaborating with large retailers, transport companies, hotels, and restaurants. Additionally, associating with social media influencers or celebrities can promote Aava authentically.

Earlier too, Aava actively utilized social media platforms and influencer marketing to connect with younger audiences and promote brand awareness by create engaging content, conducting interactive contests, and responding to comments to build a community around Aava. Utilizing social media advertising to reach specific demographics and interests, tracking campaign performance, and developing informative blog posts, articles, or videos about hydration, sustainability, and healthy living, shows how Aava relies on creativity in its content.

Aava highlighted its commitment to sustainability through eco-friendly packaging and environmental awareness campaigns. Aava promotes sustainable packaging solutions, supports environmental NGOs, participates in clean-up drives, and runs educational campaigns about water conservation. It also communicates its sustainability efforts in annual reports, website content, and marketing materials.

► BUSINESS DECISIONS

The other decision that the company undertook after undertaking strategic research was to focus on the green environmental revolution and the blue plastic world. It was an important decision for the company as all packaged drinking water, including their competitors’, was in blue bottles mostly. The company wanted to make a straightforward, distinctive communication approach that would help them penetrate the market and cut across their competitors. Given that Aava brand colour is green, the company educated the consumers by focusing on their communication strategies that these blue bottles processed their water with chemicals, and Aava is environment-friendly, and has been awarded ISO-14001:2015 certification as it has zero water rejection technology, unlike bottled R.O. water that has over 70% wastewater rejection.

With the capacity to produce 2 lakh mineral water bottles daily, Aava is India's highest-selling natural mineral water. Originating from the Aravallis, over 350 Million bottles are relished worldwide with almost 50% market share in domestic and international airlines. The company even showed the comparisons between the packaged drinking water and Aava natural drinking water, as this was the primary issue that the company was facing. The company used this comparison table and effectively educated the consumers in India about packaged and mineral water while developing its brand positioning.

The research also reflected that the consumers would need water in different sizes as the needs and requirements are distinctive. Subsequently, Aava launched a 200 ml Aava Mini, which consumers now use extensively, especially by airliners. The company went on to offer the products in different sizes such as family packs (in sizes of 20 litres, 10 litres, 5 litres), cup-cap bottles (less messy, double sealed in sizes of 1 litre and 1.5 litres), sports bottles (for fitness freaks, kids, and on-the-go consumers in size of 750 ml), personal use (especially for single-use 500 ml size for consumption in hotels, restaurants and so on) and mini (easy to carry, best suitable for airlines in sizes of 300 ml and 200 ml). Only one brand, i.e., Aava, offered an array of design and sizes to connect and develop the core branding among the consumers.

Further, the curved bottle design developed by Aava based on the research became exclusive in the Indian market. Although the design inspired many other brands for their products, primarily as it signifies gentleness and serenity, which became the brand's DNA. Further, the unique cup with the bottle also became very popular in India. The consumers could recall the brand with the natural green color and the cup.

The company also strengthened its points-of-purchase to increase brand awareness among Indian consumers. The company used the premium positioning in the B2B segment for the B2C segment and sponsored various leading sporting and cultural events, such as cricket matches, marathons, and Vibrant Gujarat Summits. The company undertook direct selling and provided trials in these events to increase the brand's awareness. The cricket team occasionally used this brand, thereby enhancing the product's credibility.

Recently, Aava underwent multiple advancements and received numerous accolades—in 2020, the Aava Glass bottle range was introduced, and Aava transitioned into a plastic-neutral packaged drinking water brand. Aava recycled more PET bottles than it generated through the Extended Producer Responsibility (EPR) system and cloud recycling facilities. India's recycling system allows for 90% of PET to be recycled, and Aava exclusively utilizes PET bottles that are 100% recyclable and BPA-free. The glass bottle collection emphasizes a dedication to nature. The Aava Ecosystem, which houses numerous native plants and animals, inspires our real-life bottling environment. Subsequently, Aava redesigned its website to facilitate direct and complimentary home deliveries. Aava expanded its services to cover more than 780 zipcodes using a distinctive delivery system and strategically located warehouses. Aava was an early adopter of Amazon and is now a leading seller on the e-commerce platform.

Aava Sparkling drinks in its uniquely designed bottles can be consumed alone or combined with alcoholic beverages as a sugar-free and guilt-free mixer while preserving Aava's original and healthy natural mineral content. In 2022, Avanti Mehta, Aava's brand manager and creative director, became India's youngest water sommelier. Avanti received certification from the prestigious FineWater

Academy, established by renowned water sommeliers Michael Mascha and Martin Riese. A certified water sommelier, Avani, samples, assesses and enlightens others on the water's distinct source, mineral content, and flavor. Increased consumer awareness about beverage choices leads to greater corporate environmental responsibility. Aava Water is India's first natural mineral water brand to have an in-house sommelier who creates unique experiences.

► WAY AHEAD

This mineral water industry is expected to grow further in India with rise in health conscious preferences among consumers. The increased income levels and evolved water hygiene consciousness has boosts hope for the industry. Give that the orientation about local brands is also changing with extensive use of social media, Indian consumers now understand differentiation domestic and global brands with their key benefits. The government's "Make in India" initiative is also opening doors for the brands developed in our country. Thus, this would help the company co-brand with even public organizations. The company plans to identify premium locations and events where the brand can increase awareness among Indian consumers and educate them about its health-oriented benefits—health and wellness is the key mantra!

The company is also considering offering various flavors to consumers, such as mango, lemon, elaichi, lime, and cinnamon. The company is also working on the bulk business, as the jars can be recycled with the health element. However, bulk business is volume-based and service-oriented and cannot be done for more comprehensive geographical locations. Based on the same line, Aava is exported to New Zealand, South Africa, and other developed nations as it has high internal quality standards.

Further, the company plans to ship the water to the Middle East, Southeast Asia, and Eastern Europe, as they already have orders from Sri Lanka and France. The company also plans to tap its potential to accept bulk orders in India as Indian consumers are shifting from price sensitivity to value propositions and health consciousness. The company is also equipped in developing more B2B communication to penetrate deeper into the market, focusing on B2C. It also plans to widen the portfolio of sparkling water, soda-flavored water, and tonic water.

Discussion Questions

1. What were the fundamental business problems and issues faced by Aava in India?
2. What process was used by Aava to conduct research in India?
3. What were the data collection sources that Aava used?
4. How has Aava used the data in its business decisions?
5. What benefits did Aava achieve after following structured research steps and processes?